

VARA Notice of Fines – **Morpheus Software Technology FZE**

The Virtual Assets Regulatory Authority (“**VARA**”) is issuing this Notice of Fines regarding ongoing supervisory controls, and enforcement actions taken against Morpheus Software Technology FZE (Ref: VL/23/10/002) (“Morpheus (Fuze)”).

Morpheus (Fuze) was issued a Virtual Asset Service Provider Licence on 19 October 2023 (the “**Licence**”), permitting market operations, subject to the conditions set out in the Licence. Following a recent regulatory investigation, which commenced on 15 April 2025, VARA has identified failures in Morpheus (Fuze)’s Anti-Money Laundering (“**AML**”) programme, related governance, compliance, and internal systems and controls. Furthermore, Morpheus (Fuze) was found to have intentionally conducted unlicensed VA activity, in breach of the conditions set out in the Licence, and failed to disclose material facts to VARA.

In light of the aforementioned failures, VARA has taken enforcement actions, including the imposition of a financial penalty against Morpheus (Fuze).

VARA notes that Morpheus (Fuze) has accepted the findings identified, and proposed a plan to remedy the aforementioned breaches. In addition, a Skilled Person will be appointed to oversee the execution of the remediation plan.

Morpheus (Fuze) will be subject to ongoing supervision by VARA, including fulfilment of remedial actions imposed on Morpheus (Fuze), to secure the marketplace and protect consumers.

The above has been published on a non-reliance basis for market awareness and consumer information purposes only, in accordance with VARA’s function as the competent authority to regulate, license, supervise, and oversee Virtual Asset services in the Emirate of Dubai, including, but not limited to, exercising powers to monitor and enforce against any breaches of VARA’s regulations and/or wrongdoing. This notification is not a substitute for investors’ own due diligence and does not constitute any form of professional or legal advice.

VARA is the competent entity in charge of regulating, supervising, and overseeing Virtual Asset services in the Emirate of Dubai (excluding the Dubai International Financial Centre).

----- | END OF NOTICE | -----